a client demands, in response to short-term market fluctuations and the detriment of the investment plan, that his or her asset allocation be changed. Moving repeatedly in and out of an allocation can cause serious, long-term, negative consequences. Behavioral biases need to be identified before the allocation is executed so that such problems can be avoided.[3]

BEST PRACTICAL ALLOCATION

Practitioners are often vexed by their clients' decision-making processes when it comes to structuring investment portfolios. Why? As noted in the previous section, many advisors, when designing a standard asset allocation program with a client, first administer a risk tolerance questionnaire, then discuss the client's financial goals and constraints, and finally recommend the output of a mean-variance optimization. Less-than-optimal outcomes are often a result of this process because the client's interests and objectives may not be fully accounted for. According to Kahneman and Riepe, financial advising is "a prescriptive activity whose main objective should be to guide investors to make decisions that serve their best interest."[4] Clients' interests may indeed derive from their natural psychological preferences—and these preferences may not be served best by the output of a mean-variance model optimization output. Investors may be better served by moving themselves up or down the efficient frontier, adjusting risk and return levels depending on their behavioral tendencies.

More simply, a client's best practical allocation (which may also be referred to as a behaviorally modified allocation) may be a slightly underperforming long-term investment program to which the client can comfortably adhere, warding off an impulse to "change horses" in the middle of the race. In other cases, the best practical allocation might contradict clients' natural psychological tendencies, and these clients may be well served to accept risks in excess of their individual comfort levels in order to maximize expected returns. The remainder of this book develops an understanding of how, exactly, a real client situation might be construed in order to determine a particular allocative approach. In sum, the right allocation is the one that helps the client to attain financial goals while simultaneously providing enough psychological security for the client to sleep at night. The ability to create such optimal portfolios is what advisors and investors should try to gain from this book.

In creating a behaviorally modified portfolio, it is critically important to distinguish between emotional and cognitive biases and to consider the level of wealth of the investor in question. Individual biases should be